

China Hardware

Read-across from Apple Jun-Q'26 Earnings Call and Update on China Smartphone Shipments

CITI'S TAKE

Apple's Jun-Q'26 earnings call suggested supply constraints (SoC) will increase significantly with limited supply-chain flexibility in Sep-Q. Memory costs will further increase in Sep-Q, driving lower costs on certain non-memory components. Our latest iPhone build plan suggests further strong production, up 22% YoY in 3Q26E. 2H26E iPhone 18 build is expected to reach 81mn (lower than prior version 84mn). Key iPhone 18 upgrade beneficiaries are preferred names. For China market, Apple reached 22% YoY growth in Jun-Q; sell-in iPhone shipments reached c.12mn vs. sell-out 10-11mn (slightly down YoY on high base, but should resume growth momentum in 3Q26E with promotions). Chinese brands were barely up 1% YoY in 2Q26. We believe share prices of smartphone supply-chain companies will hinge on 2Q26/1H26 results and 2H26E outlook; we expect some 1H26 results will be better-than-feared amid inventory build, while pressure will likely increase in 2H given double-digit % decline in smartphone market.

Kyna Wong^{AC}

+852-2868-7820

kyna.wong@citi.com

Karen Huang

+852-2501-2755

karen.xw.huang@citi.com

Kevin Chen

+852-2501-2125

kevin.y.chen@citi.com

Yiming Li, CFA

+852-2501-2857

yiming.li@citi.com

Certain restocking in 1H26 in China smartphone market: According to CAICT, China smartphone sell-in shipments were down 16.6% YoY (or -36.0% MoM) to 17.1mn units in Jun-26, bringing 1H26 sell-in shipments down by 3.0% (vs. sell-out -7% YoY). We note (1) domestic OEM sell-in handset shipments declined 6.4% YoY in 1H26 (vs. sell-out shipments of -10%); 2Q26 rebounded 18.7% QoQ and up 1.1% YoY. (2) Non-domestic OEM handset shipments were up 0.9% YoY in 1H26 (vs. iOS sell-out shipments +9%). 2Q26 were up 22.7% QoQ and 5% YoY. We believe sell-in shipments were supported by inventory built ahead of supply constraints. Given the subsidy stimulus effect fade-out and rising ASP among smartphone makers, sell-out shipments continue to decline; iPhone momentum paused from April to mid-June on high base, but resumed from late June with promotions. We believe share prices of smartphone supply-chain companies will hinge on their 2Q26/1H26 results and 2H26E outlook; we expect some 1H26 results will be better-than-feared supported by inventory build, while pressure will likely increase in 2H given double-digit % decline for the smartphone market.

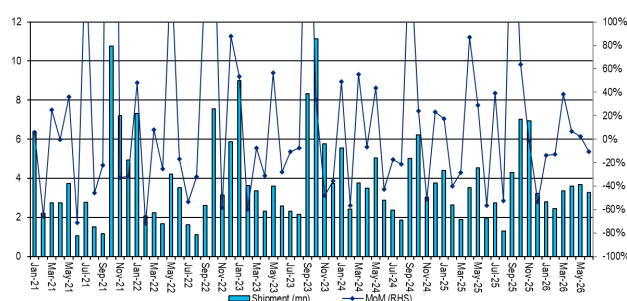
Read-across from Apple results: [Apple \(covered by Atif Malik\) reported a June quarter with revenue/NP up 16%/22% YoY and Sep-Q guidance \(9-11% YoY revenue\)](#). Strong revenue was driven by iPhone (+22% YoY) and Mac (+29%). Company expects constraints (SoC) to increase significantly, affecting iPhone, Mac, and iPad, with demand running above expectation and limited supply-chain flexibility. Memory costs will further increase in Sep-Q with some carry-in inventory benefit, while costs lower on certain non-memory components. Apple indicated

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22% YoY growth for iPhone was driven by strong iPhone 17 series (with higher Pro models). China sales reached 22% YoY growth driven by strong iPhone (sell-in/sell-out) shipment and mix. According to IDC, global smartphone shipments in 2Q26 totaled 277.5mn units, down 6.7% YoY. Apple grew 15.3% YoY to 55.8mn with 20.1% share (up 3.8ppts YoY). China smartphone shipments declined 4.3% YoY to c.66mn in 2Q26. Apple grew 24.4% YoY to approx. 12mn units with 18.1% share (up 4.2ppts YoY), while sell-out shipments dropped slightly (3-4% YoY) on high base, but market share reached 17.9% (up 1.7ppts YoY). Our latest iPhone build plan suggests another strong production of up 22% YoY in 3Q26E. 2H26E iPhone 18 build should reach 81mn (lower than prior version of 84mn), in which iPhone 18 Fold production volume is 7.5mn. Foxconn is the sole EMS supplier. Luxshare will likely supply 31%/41% of iPhone 18 Pro/ Pro Max (better mix than last year). Pegatron/Tata likely only supplies 7% of iPhone Pro Max. Key upgrades in iPhone 18 include (1) foldable phones driving UTG, hinge, titanium casing, VC heatsink upgrade; (2) main camera with variable aperture for Pro/Pro Max. **Key beneficiaries** for above: **Luxshare** (better mix + actuator), **Lens Tech** (fold UTG), **AAC** (VC heatsink), **Sunny Optical** (lens share gain + actuator).

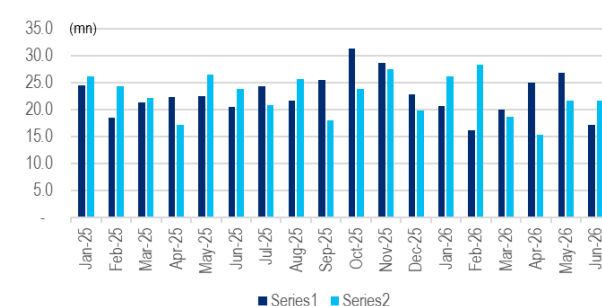
Figure 1. MIIT China smartphone shipments (sell-in)



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Source: Citi Research, CAICT

Figure 2. China smartphone shipments sell-in vs. sell-out



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Figure 3. iPhone production build plan (quarterly)

mn units	As of 4 May 2026						As of 22 Jun 2026			
	1Q25	2Q25	3Q25	4Q25	1Q26F	2Q26F	3Q26F	1Q26F	2Q26F	4Q26F
iPhone SE	0	0	0	0	0	0	0	0	0	0
iPhone 11	0	0	0	0	0	0	0	0	0	0
iPhone 12	0	0	0	0	0	0	0	0	0	0
iPhone 13	5	3	3	2	0	0	0	0	0	0
iPhone 14	2	2	1	1	0	0	0	0	0	0
iPhone 15	3	5	5	3	4	3	3	4	3	2
iPhone 16	41	38	24	12	7	5	5	7	5	4
iPhone 17	0	0	20	79	48	55	34	48	53	34
iPhone 18	0	0	0	0	0	0	0	0	0	24
Total	50	48	52	97	59	63	42	59	61	64
%YoY	8%	16%	7%	20%	17%	31%	28%	17%	26%	22%

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Source: Citi Research Estimates

Figure 4. iPhone production build plan (annually)

mn units	2021	2022	2023	2024	2025	22 Jun'26
					2026F	
iPhone SE	22	16	10	7	-	-
iPhone 11	33	21	12	2	-	-
iPhone 12	92	15	3	2	-	-
iPhone 13	91	112	30	22	12	0
iPhone 14	-	78	93	18	6	0
iPhone 15	-	-	90	79	16	11
iPhone 16	-	-	-	87	114	20
iPhone 17	-	-	-	-	99	154
iPhone 18	-	-	-	-	-	81
Total Production	246	241	238	217	247	266
%YoY	8%	-2%	-1%	-9%	14%	8%

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Companies Mentioned:

AAC Technologies Holdings (2018.HK; HK\$38.54; 1; 31 Jul 26; 16:10) | Apple, Inc. (AAPL.O; US\$308.91; 1; 31 Jul 26; 16:00) | Foxconn Industrial Internet (601138.SS; Rmb56.7; 1; 31 Jul 26; 15:00) | Foxconn Technology (2354.TW; NT\$56.5; Not Rated; 31 Jul 26; 13:30) | Lens Technology (300433.SZ; Rmb31.58; 2; 31 Jul 26; 15:00) | Lens Technology (6613.HK; HK\$20.64; 1; 31 Jul 26; 16:10) | Luxshare Precision Industry (002475.SZ; Rmb57.48; 1; 31 Jul 26; 15:00) | Luxshare Precision Industry Co Ltd (2475.HK; HK\$55.7; Not Rated; 31 Jul 26; 16:10) | Pegatron (4938.TW; NT\$84.4; Not Rated; 31 Jul 26; 13:30) | Sunny Optical Technology Group (2382.HK; HK\$56.05; 1; 31 Jul 26; 16:10)

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